Absorbing Transition DID Results: Bad Historical Any Failure — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.062**		0.025		0.052**
		(0.024)		(0.016)		(0.023)
× Voluntary Rotation		0.016*		0.001		0.017**
		(0.008)		(0.005)		(0.007)
Pooled	0.035***		0.010**		0.029***	
	(0.006)		(0.004)		(0.005)	
Mandatory − Voluntary		0.046*		0.024		0.035
Difference p-value		0.076		0.162		0.143
Observations	28,863	26,173	28,863	26,173	28,863	26,173
Firms	4,858	4,693	4,858	4,693	4,858	4,693
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.038**		0.024**		0.035**
		(0.018)		(0.012)		(0.018)
× Voluntary Rotation		0.038***		0.016**		0.030***
		(0.011)		(0.007)		(0.009)
Pooled	0.044***		0.021***		0.033***	
	(0.010)		(0.007)		(0.008)	
Mandatory − Voluntary		0.000		0.008		0.005
Difference p-value		0.987		0.568		0.791
Observations	11,428	10,990	11,428	10,990	11,428	10,990
Firms	2,078	2,049	2,078	2,049	2,078	2,049
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.027**		0.012		0.024**
		(0.013)		(0.009)		(0.011)
× Voluntary Rotation		0.020***		0.008**		0.014***
		(0.005)		(0.004)		(0.004)
Pooled	0.030***		0.012***		0.025***	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		0.007		0.003		0.010
Difference p-value		0.621		0.717		0.437
Observations	38,640	35,820	38,640	35,820	38,640	35,820
Firms	5,244	5,165	5,244	5,165	5,244	5,165
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.030**		0.014		0.024**
		(0.013)		(0.009)		(0.011)
× Voluntary Rotation		0.017***		0.008**		0.011***
		(0.005)		(0.004)		(0.004)
Pooled	0.029***		0.012***		0.023***	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		0.013		0.006		0.013
Difference p-value		0.349		0.528		0.260
Observations	39,818	36,995	39,818	36,995	39,818	36,995
Firms	5,244	5,178	5,244	5,178	5,244	5,178
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.